

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) F.M.M. — Semester VI Examination, 2015-16

Paper No. BCF-322: Foreign Exchange Market Operations

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1.

Discuss the functions and significance of Foreign Exchange Market.

[14]

OR

“International monetary system facilitates international trade and investment”. Discuss. [14]

Question 2.

What are the measures initiated to develop the foreign Exchange Market in India? Explain.

[14]

OR

Define Foreign Exchange Reserve. Discuss the various factors affecting Foreign Exchange Reserve. [14]

Question 3.

Briefly explain functions and significance of Exchange Rate in international trade. [14]

OR

Discuss the different techniques of Exposure Management. [14]

Question 4.

Explain the features and functions of Euro Currency Market and Euro Dollar Market. [14]

OR

Write short notes on: [5+5+4]

- (i) Letter of credit
 - (ii) Euro Currency
 - (iii) Time Deposit
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Question 5.

Discuss the different hedging approaches. Explain forward and money market hedge in detail. [14]

OR

Write short notes on: [5+5+4]

- (i) Forex Market
- (ii) Exchange Rate
- (iii) Hedging through invoice Currency